THE HONEST GUIDE

Off-Plan Property in the UAE

Buying property in Dubai & Abu Dhabi before it's built - explained properly, for people who don't live here.

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All prices in UAE Dirhams (Đ) and Pounds (£) at ~£1 = Đ4.7, indicative.
This guide is market information, not financial advice.

CHAPTER ONE

What Off-Plan Actually Is

Off-plan means buying a property directly from the developer before, or while, it's being built. You choose a specific unit from the masterplan, sign a purchase agreement, and pay in instalments tied to construction - not all at once. You get the keys when it's finished, usually two to four years later.

Why anyone would do that

- **Price:** developers price launches below what the finished product is expected to be worth - it's how they fund construction and reward early buyers for waiting. The gap between launch price and completed value is the core of the opportunity.
- **Instalments, not a mortgage:** a typical plan asks for 10-20% at booking and spreads the rest across the build. Many buyers own UAE property outright without ever taking a loan.
- **Brand-new stock, first choice:** earliest buyers pick the best units - the corner plot, the park view, the high floor. Those units carry a premium forever.
- **Currency reality for UK buyers:** the dirham is pegged to the US dollar. Your asset sits in a dollar-linked currency, which has been a quiet tailwind for sterling-based owners over most recent years.

The honest other half

You're buying a contract and a promise, not bricks you can touch. Completion takes years. The market can move both ways while you wait. Developers vary enormously in quality and punctuality. Every one of those risks is real - and every one has a protection or a tactic against it, which is what the rest of this guide is for.

The one-line version: off-plan trades time for price. You commit early and wait patiently; in exchange you enter below the finished market with your payments spread out. Everything else is detail - important detail.

CHAPTER TWO

Why the UAE Does This Better Than Anywhere

"Buying something that doesn't exist yet, abroad" sounds terrifying. It's a fair instinct - and it's exactly why the UAE built one of the world's strictest off-plan frameworks. The rules were forged the hard way, after 2008 exposed every weakness, and the system that emerged is the reason this market now runs at the scale it does.

The protections, in plain English

- **Your money doesn't go to the developer.** Every off-plan project must have a government-monitored **escrow account**. Your instalments go there, and the developer can only draw funds as construction milestones are certified. They cannot spend your money on another project, a yacht, or anything except building your building.
- **Projects must be registered and land must be owned** before a single unit can be sold - regulators (DLD/RERA in Dubai, ADREC in Abu Dhabi) approve projects before launch.
- **Your purchase is registered with the government from day one** - in Dubai as an "Oqood" (pre-title registration in your name), converting to full title deed at handover. You legally own that specific unit's contract; it's not an IOU.
- **If a project is cancelled,** the regulator - not the developer - oversees refunds from the escrow account.
- **Foreigners own outright.** In designated freehold zones (which include effectively every area an international buyer would consider), you own the property fully, forever, in your name - no local partner, no leasehold games.

And the ownership economics

No annual property tax. No capital gains tax. No inheritance tax on UAE assets under the frameworks most international buyers use. Rental income untaxed in the UAE (your home country's rules may still apply - take advice). The purchase cost is a one-time registration fee, covered in Chapter Five. For UK buyers used to stamp duty bands and Section 24, this is a different planet.

Regulatory details are simplified for clarity and current at the time of writing - specifics are confirmed per-project before you commit to anything.

CHAPTER THREE

How the Money Actually Works

Anatomy of a payment plan

Every project publishes its plan up front. A typical structure on a Đ2,000,000 (~£425,000) apartment:

STAGE	TYPICAL %	ON Đ2M	~£
Booking / down payment	10-20%	Đ200,000-400,000	£43,000-85,000
During construction (instalments over 2-4 yrs)	30-50%	Đ600,000-1,000,000	£128,000-213,000
On handover (keys)	40-60%	Đ800,000-1,200,000	£170,000-255,000

Plans are quoted like "20/80", "60/40", "10/90" - construction share / handover share. Some developers offer **post-handover plans**: you keep paying instalments for 2-5 years AFTER receiving keys, often while the property earns rent. Powerful, and priced in - post-handover plans usually carry slightly higher headline prices.

The real day-one number

The booking percentage is not the whole first cheque. Add the government registration fee (**4% of price in Dubai; 2% in Abu Dhabi**) plus small admin fees. On a Đ2M Dubai purchase with a 20% booking: Đ400,000 + Đ80,000 + ~Đ5,000 = **~Đ485,000 (~£103,000) to open the door.** Anyone who quotes you only the booking percentage is selling, not advising.

What buying costs you in fees

- **Broker fee for off-plan: usually nothing.** The developer pays the brokerage. My advice, the launch access, the negotiation - costs you zero. (Resale/secondary purchases are different: typically 2% buyer-side.)
- **Registration:** the 4% / 2% above - one-time, not annual.
- **After handover:** service charges (building upkeep) - indicatively Đ10-30 per sqft per year on apartments, lower rates on villas. Budget for it in any yield maths.

What Your Budget Buys

Three broad brackets, both cities, in round numbers. These are indicative entry levels for NEW launches at the time of writing - individual projects vary, and this is exactly what the call at the end of this guide is for.

Up to Đ3M (~£640K)

WHAT	WHERE IT LIVES	INDICATIVE ENTRY
1-2 bed apartments, strong communities	Dubai - established masterplans, waterfront edges	Đ1.2M-3M / £255K-640K
1-2 bed apartments, island communities	Abu Dhabi - Reem, Yas, Saadiyat edges, new districts	Đ1M-2.5M / £213K-530K
Townhouses, emerging communities	Both cities, further from centre	Đ2M-3M / £425K-640K

Đ3M - Đ10M (~£640K - £2.1M)

3-4 bed townhouses & villas, prime masterplans	Dubai - lagoon, golf and park communities	Đ3M-8M / £640K-1.7M
Premium apartments & penthouses	Both - waterfront, branded buildings	Đ3M-10M / £640K-2.1M
Villas on the islands	Abu Dhabi - Yas, Hudayriyat, Saadiyat orbit	Đ4M-10M / £850K-2.1M

Đ10M - Đ25M (~£2.1M - £5.3M)

Signature villas - golf, park & water frontage	Dubai - new premium districts, established golf	Đ10M-25M / £2.1M-5.3M
Branded residences & mansion plots	Both - operator-branded, low-density islands	Đ12M-25M+ / £2.6M-5.3M+

A note on the Golden Visa: property worth Đ2M+ (~£425K+) qualifies the owner for a renewable 10-year UAE residency visa - including off-plan purchases from approved developers, conditions applying. For many UK buyers this transforms the purchase from an investment into an option on a whole second life.

Dubai or Abu Dhabi - The Honest Answer

Most guides won't pick a side. I will, because the numbers do - and then I'll tell you why the answer still depends on you.

+17.8%	+24%	84%	~2x
ABU DHABI VALUES, PAST YEAR	AD APARTMENTS, PAST YEAR	OF AD SALES ARE OFF-PLAN	DUBAI'S RISE FROM ITS 2020 LOW

The case the numbers make

Dubai ran first and ran hard - values roughly doubled from the 2020 trough, and its growth has now flattened into single digits as the market digests that run. Abu Dhabi started later and is still accelerating: +17.8% in the past year, apartments +24%, and the capital's own leading researchers on record that it **sits earlier in its property cycle than Dubai**. When 84% of everything sold in a market is off-plan, that market's buyers have voted on where the value is. **On today's numbers, for pure capital growth, the capital is the stronger entry.**

Why Dubai still wins for many buyers

Dubai is the deeper market: more stock, more variety, more liquidity when you exit, the stronger global brand, the bigger rental pool, and the place most international buyers actually want to LIVE or holiday. If your purchase is partly a life decision - a base, a future home, a short-let you'll use yourself - Dubai's ecosystem is unmatched. Growth cycles rotate; liquidity is structural.

How I'd frame the choice: buying purely as an investor on a 3-7 year horizon - weight toward Abu Dhabi. Buying a base you'll use, or your first UAE property with an eye on living here - Dubai, and buy the community, not the brochure. Many of my buyers now do one of each, in that order or reverse. Markets cycle; the framework above outlives any quarter's numbers.

Figures: ValuStrat Q2-2026 (Abu Dhabi VPI), DLD transaction data (Dubai). Cycles shift - the numbers get refreshed, the logic doesn't.

The Process, Start to Keys

You do not need to live here. You do not need to visit (though it helps). You do not need a UAE bank account to start. Here's the whole journey:

1. **Define the brief (one call).** Budget, purpose (growth / rental / future base), cities, timeline. This is where I earn my keep - matching the brief to launches actually worth your money.
2. **Shortlist & evidence.** You get real numbers for each option: pricing, payment plan, developer track record, area transaction data - not brochures. Video walkthroughs of show units and sites if you're remote.
3. **Register interest (EOI).** For sought-after launches, a refundable deposit (typically Đ20,000-100,000) queues you for allocation. Fully refundable if you don't proceed - and being registered early is how you get the good units.
4. **Allocation & booking.** Launch day: you're offered specific units. Decide fast (we'll have decided your criteria in advance), pay the booking amount, sign the reservation.
5. **SPA - the contract.** The Sale & Purchase Agreement arrives within weeks. Everything's in it: plan, dates, specs, penalties both ways. Signable electronically from anywhere on earth.
6. **Registration.** Your purchase is registered with the government in your name (Oqood in Dubai). Pay the registration fee. You now legally hold that unit.
7. **Pay & track.** Instalments per the plan, into escrow. I send construction updates; you watch your building grow from your sofa in Surrey.
8. **Snagging & handover.** Near completion: inspection (I arrange professional snagging if you're abroad), defects fixed, final payment, keys, title deed. Then we furnish it, rent it, or hand it to you - whichever the plan was.

Documents needed to buy: your passport. That's genuinely nearly it. No visa required to own. Power of attorney available for anything needing a signature in person.

The Risks - Named, Not Hidden

Anyone selling you off-plan without this page is not on your side. Here's what can go wrong and what protects you:

RISK	REALITY	PROTECTION / TACTIC
Delay	Common. Months more often than years. Contracts include grace periods.	SPA penalties beyond grace; escrow keeps your money tied to actual progress; buy developers with delivery records, not renders.
Cancellation	Rare in the modern framework.	Regulator-supervised refunds from escrow; project registration requirements weed out most fantasy projects before launch.
Market falls while you build	Possible - cycles are real (Chapter Eight).	Buy below-market at launch (margin of safety), hold horizon 5+ years, buy locations with structural demand - never buy the last phase of a hype cycle at a premium.
Quality disappoints	Varies hugely by developer tier.	Track record over brochures; professional snagging before acceptance; retention rights on defects.
You need out early	Resale before handover is restricted.	Typically allowed after 30-40% is paid, with developer NOC (small fee). Plan your liquidity before entering - off-plan money should be patient money.
Currency swings (£ buyers)	Đ is dollar-pegged; £/$ moves.	Instalments average your entry rate over years - a built-in smoothing most buyers never notice they're getting. Forward contracts exist for larger sums.

The biggest real risk isn't on this table: it's buying the wrong project from the wrong developer because a stranger with a lanyard promised guaranteed returns. There are no guaranteed returns. There are good buildings in good locations from serious developers at fair prices - and there's everything else. Telling those apart is the entire job.

CHAPTER EIGHT

Cycles - The Only Chart That Matters

UAE property is cyclical and always has been. Pretending otherwise is how people get hurt; understanding it is how people get wealthy.

The shape of the last two decades

A ferocious boom into 2008, a brutal crash that built today's regulations. Recovery into 2014, then five soft years - the market digesting supply. Then 2020: a pandemic trough that marked the bottom of the cycle, followed by the strongest run in the market's history - citywide Dubai values roughly **doubling from that trough**, with Abu Dhabi following the same shape a few years behind, as it historically does.

What the shape teaches

- **Entry point matters more than almost anything.** The people called geniuses today are mostly people who bought when others hesitated.
- **The two cities rotate.** Dubai leads, the capital follows with a lag - which is why the "which city" answer in Chapter Five changes over time, and why owning across both is how serious UAE investors end up positioned.
- **Hold horizons beat timing.** Nobody rings a bell at the bottom. A 5-10 year horizon has historically forgiven imperfect timing; a 12-month flip mentality has punished it.
- **Off-plan is a cycle instrument.** You commit at today's sentiment and receive at tomorrow's - powerful when entering during hesitation, dangerous when entering at peak euphoria. Knowing which one it is right now is a conversation, not a chart.

Where are we in the cycle as you read this? Deliberately not printed here - it changes, and this guide doesn't. It's the first thing I'll show you on our call, with current transaction data on screen, not opinions.

Why Listen To Me

I'm Calum MacLeod - Scottish, six years in Dubai, off-plan and secondary specialist at White & Co, one of Dubai's largest independent brokerages. I publish the receipts behind this market daily to an audience who followed me here from that content - which is probably how you found this guide.

Skin in the game

I don't just sell this asset class - **I buy it. My own money is in UAE off-plan, including in Abu Dhabi's growth corridor**, purchased on the exact logic in these pages: below-market entry, staged payments, patient horizon, city rotation. When I recommend a structure, it's one I've signed myself. Judge my incentives however you like - then check my numbers, because everything I claim is sourced from government transaction data, and I'll show you the working.

How I work with remote buyers

- Everything over video and WhatsApp - brief, shortlists, site walkthroughs, launch day, signing. My UK buyers mostly never fly out until handover (some not even then).
- **You pay me nothing on off-plan -** developers pay the brokerage. My incentive is the relationship and the next purchase, which only happens if the first one was right.
- I'll tell you not to buy. Some briefs should wait, some budgets fit nothing worth owning right now, and some "opportunities" are marketing. Hearing that costs you one phone call.

THE NEXT STEP

One Call. Real Numbers. No Pressure.

Fifteen minutes on video or phone. You bring your budget and what you're trying to achieve; I bring live pricing, current launch access, and the cycle chart - and I'll tell you honestly whether now, later, or not-this is your answer.

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